VALUATION

We recommend SELL on Mallplaza with a target price of CLP 2,076 per share (80% DCF and 20% multiples), 41.6% below the CLP 3,555 close of 30-Sep-26. No method justifies the current price (Figure 27).

SUMMARY AND WEIGHTING

We give the DCF an 80% weight because Mallplaza runs retail infrastructure with highly predictable cash flows: 81.4% of LTM revenue is rent, and 93% of that is fixed rent (~76% of total revenue). The DCF best captures the intrinsic value of the business and its expansion plan.

Multiples (20%) test the model against what the market pays for the industry today. We cap their weight for two reasons: (i) Chile has only two direct, liquid peers (Parque Arauco and Cencosud Shopping), which gives little statistical depth; and (ii) multiples reflect current sentiment but not Mallplaza's GLA expansion or financing path, which the DCF does capture.

DCF: MODEL STRUCTURE

We value a two-stage free cash flow to the firm (FCFF) in nominal CLP, with a 30-Jun-26 valuation date and the mid-year convention. The explicit stage (2H26E–2031E) captures the near-term investment plan and the GLA expansion; the terminal stage (from 2032) is a Gordon perpetuity that accounts for 76% of enterprise value, consistent with long-lived assets (Appendix [B]).

The explicit horizon includes the capex and revenue ramp-up of projects opening through 2032, adding 108,301 m² of mature GLA in the terminal year. That growth is funded with operating cash flow and more debt: net debt/EBITDA rises from 2.36x to 3.5x by 2031. From 2032 the model adds no net GLA and terminal capex covers maintenance only (5.5% of revenue), because expanding at a return below the real WACC would destroy value (see Terminal value).

DCF: DISCOUNT RATE (WACC)

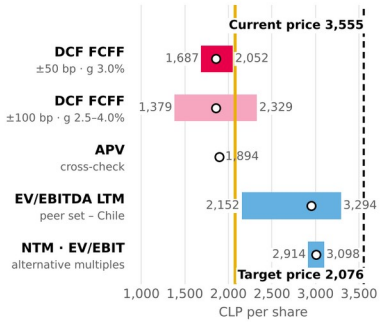
The nominal CLP WACC changes by period as the capital structure converges to its target: 10.54% in 2H26E and 10.41% in the terminal period (7.32% and 7.20% in real terms). It follows a country-risk-adjusted CAPM (Damodaran approach); details are in Appendix [Z].

Cost of equity (Ke). Since Rf, ERP and CRP are in dollars, Ke is first computed in USD: Rf 4.98% (10-year US Treasury) + beta 1.14 × ERP 4.14% (Damodaran implied premium) + CRP 1.41% = 11.10% in the terminal period. The beta comes from unlevering six regional peers with Hamada (median 0.94) and relevering it with Mallplaza's structure: 1.09 in 2H26E and 1.14 in the terminal period. The CRP weights sovereign risk by revenue (71.8% Chile, 17.7% Peru and 10.5% Colombia). USD Ke is converted to CLP with the expected inflation differential: 11.70% in 2H26E and 11.93% in the terminal period.

Cost of debt (Kd). It starts from the coupon of the latest UF bond issue (3.6% real), converted to nominal with the Central Bank's 3.0% inflation target, plus 25 bp for each turn of net debt/EBITDA above 2.36x (team assumption). After tax (27%), it rises from 4.92% in 2H26E to 5.11% in the terminal period. At CLP 3,555, equity yields almost the same as this debt (Figure 28).

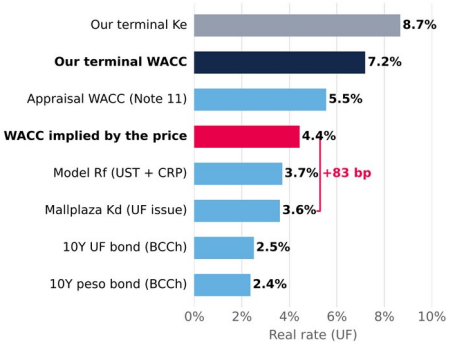
Capital structure. The long-term target is 3.5x net debt/EBITDA, reached linearly from 2.36x by 2031: the company uses its debt capacity to grow, as in 2024 (3.78x after the Open Plaza Peru acquisition). At market value this means 77.8% equity and 22.2% debt (D/E 28.5%), which is why the WACC moves over time. Cash not absorbed by investment is returned to shareholders as an additional distribution (CLP 1.79 trillion cumulative to 2031): it does not enter the EV, but it makes the debt assumed in the WACC exist in the plan (Appendix [D]).

Figure 27: No method justifies the current price (CLP per share)



52-week range pending (Bloomberg). Source: Team analysis; Bloomberg.

Figure 28: At CLP 3,555 equity yields almost the same as debt



Real rates in UF. Source: Central Bank of Chile (30-Jun-26); Mallplaza; Team analysis.

DCF: OPERATING FORECAST AND FCFF

EBITDA excluding revaluation. Reported EBITDA (CLP 544,935 million LTM, 80.5% margin) excludes unrealised gains from investment property revaluation (IAS 40). We forecast a 79.8% margin in 2026E, ~70 bp below LTM, held at that level through 2031E (Appendix [C]).

Operating tax. The effective rate on EBIT starts at 16.8% in 2026E (current tax over EBITDA less financial cost, which includes existing tax benefits) and converges to the 27% corporate rate in 2030E: 16.8% → 19.0% → 21.5% → 24.0% → 27.0%. We assume those benefits fade so as not to overstate value.

Capex. Base capex (announced pipeline plus maintenance and IT at 5.5% of revenue) peaks at CLP 240,660 million in 2027 and settles at CLP 48,000–52,000 million a year from 2029. Expansion capex totals CLP 46,268 million in 2027 and CLP 95,000–104,000 million a year in 2028–2031: from 2029, 27,075 m² open each year (average organic GLA added in 2022, 2023 and 2025), with capex in the two prior years, a 35%/90%/100% revenue ramp and a 6.9% yield on cost. The cost per m² (USD 3,603) comes from the identified pipeline: 170,200 m² and USD 613.2 million (2Q26 Release, p. 13).

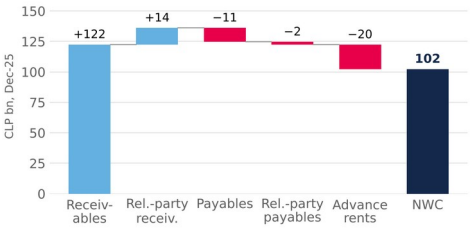
Working capital. Mallplaza has positive net working capital (CLP 102,039 million, 15.6% of revenue at Dec-25), because tenant receivables (CLP 122,370 million) exceed rents collected in advance (CLP 20,247 million). Incremental investment (15.6% × Δ revenue) is small and predictable: CLP 7,100–9,900 million a year, 0.7%–1.3% of revenue. Changing this assumption moves the price by ±1.2% (Figure 29).

DCF: TERMINAL VALUE AND IMPLIED CAP RATE

Terminal growth. We use g = 3.0% nominal (0% real), equal to the Central Bank's inflation target. The value driver supports it: the real RONIC on expansion (5.0%) is below the real WACC (7.2%), so expanding beyond the horizon would destroy value and a higher g lowers value (Figure 30). Terminal reinvestment is therefore zero and rents grow only with inflation.

Implied cap rate. The DCF implies a real cap rate of 10.1% on enterprise value and 11.3% on terminal value, well above the market's (6.0%), Chilean peers' (6.4%), the book cap rate (7.5%) and the real rate used by independent appraisers in Note 11 of the financial statements (5.55%, mid-point of the range) (Figure 31). This gap is not an inconsistency to resolve: it is the core of the thesis. Our model asks far more of the cash flows than the market and the appraisers do; to justify the current price, the WACC would have to be 285 bp lower (Figure 32).

Figure 29: Working capital: an assumption that does not move the price (±1.2%)

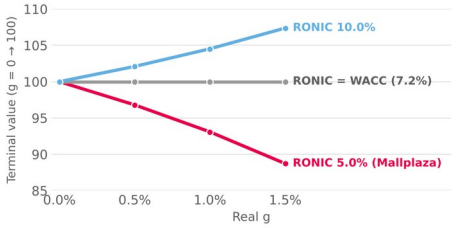


Scenario	NWC/revenue	Target price	Δ
No working capital	0.0%	2,101	+1.2%
Half	7.8%	2,089	+0.6%
Base (Dec-25)	**15.6%**	**2,076**	**±0.0%**
+50%	23.4%	2,063	−0.6%
Double	31.2%	2,050	−1.2%

Source: Mallplaza financial statements; Team analysis.

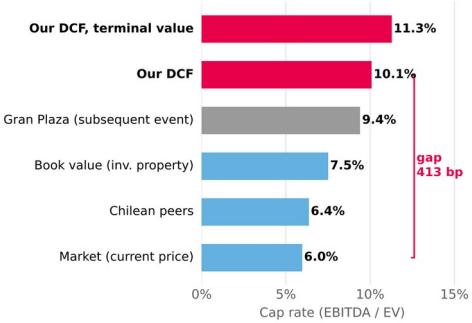
Figure 30: Growing below the WACC destroys value: real g = 0%

Nominal g	Real g	Reinvestment	DCF value	Δ
3.0%	**0.0%**	**0.0%**	**1,857**	**±0.0%**
3.5%	0.5%	9.6%	1,785	−3.9%
4.0%	1.0%	19.3%	1,699	−8.5%



Top: DCF value by g. Bottom: relative terminal value by RONIC. Source: Team analysis.

Figure 31: The market pays 6.0%; our cash flows are worth 10.1%



Gran Plaza: subsequent event, not in the model. Source: Mallplaza; Bloomberg; DF; Team analysis.

RELATIVE VALUATION: MULTIPLES (20%)

Peer group. It is the same set that defines the beta: two Chilean peers (Parque Arauco and Cencosud Shopping), three Brazilian ones (Allos, Multiplan and Iguatemi) and IRSA (Argentina), chosen for business model, scale and quality of rental assets. IRSA is kept with caution, as it reports under IAS 29 (hyperinflation) and its NTM consensus has a single analyst. We exclude Fibra Danhos (Mexico): as a FIBRA it must distribute 95% of its taxable income, which distorts its multiples, and it has no beta in the WACC (Appendix [E]).

Brazilian peers trade at structurally lower multiples because of Brazil's higher rates and risk premia (median 9.0x EV/EBITDA versus 15.7x in Chile; Figure 33). Applying the full set unadjusted would penalise Mallplaza for a risk it does not carry, when 71.8% of its revenue comes from Chile. The multiple therefore weights the Chilean median at 70% and the full-set median at 30%.

Main multiple. We use EV/EBITDA because it is neutral to leverage and leaves out property revaluation (IAS 40): it measures only the operating cash of leased GLA. The target multiple is 14.4x (70% × 15.7x + 30% × 11.1x), which gives CLP 2,951 per share. Mallplaza trades at 16.8x LTM: 7% above the Chilean median, below Parque Arauco (18.4x) and 17% above the weighted multiple (Figure 34). Multiples confirm the direction (the stock is expensive); the size of the downside comes from the DCF.

We exclude P/E because its implied value (CLP 8,644) is distorted by revaluation gains in net income. To stay consistent with peers, multiples use Bloomberg net debt (CLP 1,311,569 million), slightly different from the company's net financial debt used in the DCF (CLP 1,285,740 million).

VALUATION SENSITIVITY AND RISKS

Sensitivity. With WACC ±100 bp and g between 2.5% and 4.0%, DCF value ranges from CLP 1,379 to 2,329, centred on CLP 1,857 (Figure 25; Appendix [F]). Even the most favourable end is far below the CLP 3,555 price. On operations, the historical worst case (75.8% EBITDA margin) takes 10.0% off the DCF (Figure 24).

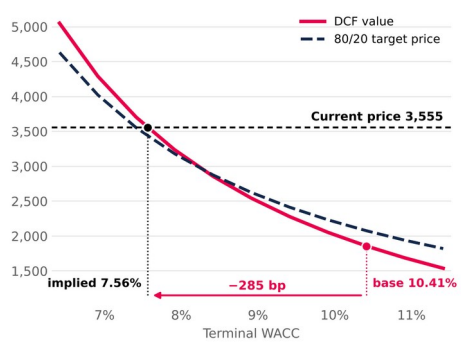
Dispersion across multiples. Multiples are the most favourable scenario for the stock, and even so all of them sit below the price: EV/EBITDA LTM CLP 2,951 (−17%), EV/EBITDA NTM CLP 2,914 (−18%), EV/EBIT CLP 3,098 (−13%) and P/BV CLP 3,171 (−11%), as does the Chilean median on its own (CLP 3,294, −7%) (Figure 27). The stock being expensive does not depend on the DCF alone.

Robustness checks. (i) APV gives CLP 1,894 per share, 2% above the DCF; (ii) using the peso bond as the risk-free rate, the target price rises to ~CLP 2,439, still 31% below the price (Appendix [Z]); and (iii) with a net debt/EBITDA target between 2.36x and 4.0x and a spread of 0 to 50 bp per turn, the DCF moves between CLP 1,819 and 1,894.

Target price. 80% × CLP 1,857 + 20% × CLP 2,951 = CLP 2,076, an expected return of −41.6% against the CLP 3,555 close of 30-Sep-26. The DCF is dated 30-Jun-26; rolling it to the price date (compounding at Ke for 0.25 years) would lift it to ~CLP 1,910 and the target price to ~CLP 2,118 (−40.4%), without changing the recommendation.

Upside risks. A further, sustained compression of market cap rates, driven by stronger institutional appetite for defensive real estate in the region, or a structural premium for Mallplaza's Tier A assets if their quality and pricing power prove more durable than the model assumes (see Investment Risks).

Figure 32: The price requires a WACC 285 bp lower

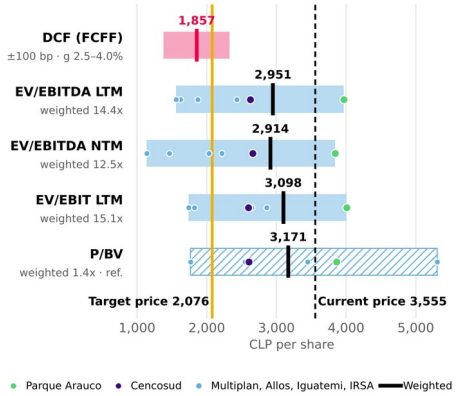


Source: Team analysis.

Figure 33: Peer multiples vs local rates

Chart pending (Brazil NTN-B yield missing, Bloomberg).

Figure 34: Value implied by each peer's multiple vs DCF and price (CLP per share)



Target = 80% DCF + 20% EV/EBITDA LTM. P/E excluded (includes property revaluation). Peer set = companies with a WACC beta. Source: Bloomberg (prices at 30-Sep-26); Team analysis.

APPENDIX [Z]: WACC CONSTRUCTION

The WACC is computed per period: D/E converges linearly from the current structure (20.0%) to the target (28.5%, net debt/EBITDA 3.5x) in 2031. The cost of equity is built in dollars (US Treasury Rf + re-levered beta × ERP + revenue-weighted CRP) and converted to pesos with the inflation differential.

βL = βU × [1 + (1 − t) × D/E] (Hamada)
Ke USD = Rf + βL × ERP + weighted CRP
Ke CLP = (1 + Ke USD) × (1 + π Chile) / (1 + π US) − 1
Kd CLP = (1 + real Kd + spread) × (1 + π Chile) − 1
WACC = E/V × Ke CLP + D/V × Kd CLP × (1 − t)

A. MARKET AND CAPITAL STRUCTURE ASSUMPTIONS

Assumption	Value	Source
Rf: 10Y US Treasury	4.98%	Tasa_WACC (FFCF)
Equity risk premium (ERP)	4.14%	Damodaran
Long-term inflation, Chile	3.00%	Central Bank target
Long-term inflation, US (10Y breakeven)	2.24%	Bloomberg, Jun-26
Chilean tax rate	27.00%	Income Tax Law
Real Kd: latest UF bond coupon	3.60%	Mallplaza
Real Kd increase per turn of net debt/EBITDA	0.25%	Team assumption
Net debt/EBITDA initial (30-Jun-26) → target	2.36x → 3.5x	2Q26 release; team assumption
Gross debt / market cap (current structure, CLP MM)	1,579 / 7,906 (thousands)	Tasa_WACC (FFCF)

B. BETA: UNLEVERED PEERS

Company	Levered β	Debt (CLP MM)	Market cap (CLP MM)	Tax rate	Unlevered β
Parque Arauco	1.250	1,700,507	3,828,031	27%	0.944
Cencosud Shopping	1.075	762,154	3,942,858	27%	0.942
Allos	1.164	960,191	2,712,166	34%	0.944
Iguatemi	0.908	647,397	1,421,560	34%	0.698
IRSA	0.427	625,047	1,218,777	35%	0.320
Multiplan	1.219	191,478	2,959,845	34%	1.169
Median (6 peers included)					**0.9428**

Source: Bloomberg (betas), Tasa_WACC. Costa Verde is excluded because it is not in the comparables set.

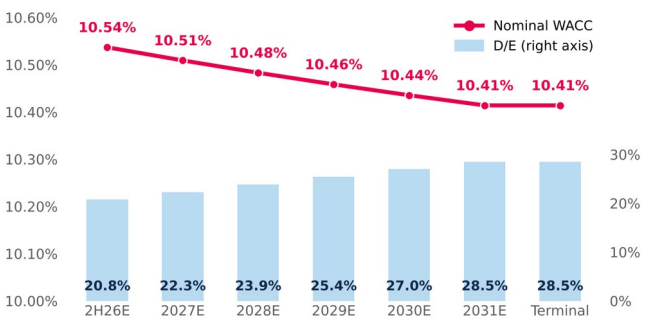
C. REVENUE-WEIGHTED COUNTRY RISK

Country	Weight (LTM revenue)	CRP (Damodaran)	Contribution
Chile	71.8%	1.04%	0.75%
Peru	17.7%	1.55%	0.27%
Colombia	10.5%	3.70%	0.39%
Weighted CRP	**100.0%**		**1.41%**

D. WACC BY PERIOD

	2H26E	2027E	2028E	2029E	2030E	2031E	Terminal
Net debt/EBITDA	2.46x	2.67x	2.88x	3.09x	3.29x	3.50x	3.50x
D/E	20.8%	22.3%	23.9%	25.4%	27.0%	28.5%	28.5%
D/V	17.2%	18.2%	19.3%	20.3%	21.2%	22.2%	22.2%
Re-levered beta	1.086	1.096	1.107	1.118	1.128	1.139	1.139
Ke USD	10.88%	10.93%	10.97%	11.02%	11.06%	11.10%	11.10%
Nominal Ke CLP	11.70%	11.75%	11.79%	11.84%	11.88%	11.93%	11.93%
Real Kd (UF) incl. spread	3.63%	3.68%	3.73%	3.78%	3.83%	3.89%	3.89%
Nominal Kd CLP	6.73%	6.79%	6.84%	6.89%	6.95%	7.00%	7.00%
After-tax Kd	4.92%	4.96%	4.99%	5.03%	5.07%	5.11%	5.11%
Nominal WACC CLP	**10.54%**	**10.51%**	**10.48%**	**10.46%**	**10.44%**	**10.41%**	**10.41%**
Real WACC	7.32%	7.29%	7.26%	7.24%	7.22%	7.20%	7.20%

Figure Z1: Nominal WACC and D/E by period



Control: the replica matches the WACC sheet of model v2 (0 bp difference in every period). Source: Damodaran; Bloomberg; Central Bank of Chile; Team analysis.

E. CHOICE OF THE RISK-FREE RATE

Alternative	Value
Model base: US Rf + Chile CRP, in CLP	6.80%
10Y peso bond, Central Bank (30-Jun-26)	5.43%
Difference	137 bp
Effect on terminal WACC (difference × E/V)	−107 bp
DCF value using the peso bond (CLP)	2,311
80/20 target price in that case (CLP)	**2,439**

Why UST + CRP and not the peso bond: the local bond already embeds Chile risk, so adding the CRP would double-count it; also, 28% of revenue comes from Peru and Colombia, whose risk enters through the weighted CRP.

It is the more conservative choice: with the peso bond the target price rises to ~CLP 2,439, still 31% below the CLP 3,555 share price. The recommendation does not change.

Source: Central Bank of Chile, Informativo Diario 2-Jul-26; DCF v2 replica with the WACC shifted in every period.